

[Table 56.8](#) shows the performance over three decades.

Performance over time. Performance was outstanding in the 2000s for upward breakouts, but the other two decades showed similar performance. Downward breakouts had the worst performance in the 2000s and the best in the 1990s.

Failures over time. For both columns, failures haven't varied too much from decade to decade. Upward breakouts suffered more failures in the 1990s, but downward breakouts had the fewest then.

Table 56.9 is reserved for busted patterns, but I'll wait for more samples to see if it's worth presenting. Look at [Table 56.3](#), the 10% row. Few patterns fail to see price move 10% or less away from the breakout and busted patterns are even fewer. I don't show the table.

Trading Tactics

[Table 56.10](#) shows trading tactics for rounding tops.

Measure rule. Use the measure rule to capture a price target. Compute the height of the rounding top and add it to the top of the pattern for upward breakouts or subtract the height from the lower of the two rims. The bottom portion of the table shows how often the method works.

For example, if we use the full height of the rounding top for upward breakouts in bull markets, price will reach or exceed the target an average of 58% of the time. Take out the table saw, cut the height in half, and use that in the calculation and price will reach the target an average of 77% of the time.

When using the rule, be sure to look for resistance or support areas. They are areas where the stock is likely to stall or reverse.

In [Figure 56.4](#), for example, point A shows the lowest low at the right rim, 45.63, whereas point B depicts the highest high at 49.88. Add the difference, 4.25 (the formation height), to the price of the highest high (point B) to get the upward breakout target. In this case, the target is 54.13, met in early July.